

Article | 18 September 2026

FX RATES UNITED STATES

# Why we've changed our Fed and ECB calls

After hawkish decisions this month, we now expect a rate hike from both the European Central Bank and Federal Reserve in December. We now also expect the US 10-year yield to end the year above 5%



Fed Chair Kevin Warsh and ECB President Christine Lagarde. We now expect rate hikes from both central banks in December

## We've updated our central bank views

As central bank watchers, we know that predicting what central banks will do is not always the same as what they should do. Wednesday's Fed meeting and last week's ECB meeting have shown us that both central banks are not likely to follow the very dovish path we anticipated. This is why we have changed our calls for the Fed and the ECB, now expecting them both to hike rates one more time before year-end.

In the past, students of monetary policy learnt that it is almost always the Fed leading new cycles of monetary easing or tightening. As a good rule of thumb, Europe, whether via the ECB or, previously, the Bundesbank, would typically follow three to six months later. Perhaps we can blame globalisation, more integrated economies and financial markets or simply the same exogenous shocks, but whatever the reason, this time around presents one of those rare occasions when the ECB is actually leading the Fed.

For the next few months, both central banks seem set to move in tandem. This comes as no surprise, given that both central banks are facing the same dilemma: a supply-side shock

driven by surging energy prices that has so far produced only limited knock-on effects across the broader economy, set against still-fresh memories of the 2022 inflation surge and delayed central bank responses. At the same time, both the US and eurozone economies show an almost unexpected resilience, though to different degrees.

The much longer-lasting war in the Middle East has not only pushed energy prices to new highs, but also increased the risk that inflation could spread more broadly in the economy. This is why we now expect the Fed and the ECB to hike once more, in order to prevent these knock-on effects from materialising.

If energy prices remain higher for even longer, i.e., into 2027, and/or these knock-on effects materialise faster, both central banks could be forced to hike further. However, this is not our base case scenario, even after our forecast revisions. Our more dovish take, based on a reopening of the Strait of Hormuz before year-end and the fact that firms will not be able to pass through higher costs to consumers, still holds.

### Our updated central bank forecasts

|                                | Spot (18 Sep) | 3Q26F | 4Q26F | 1Q27F | 2Q27F | 3Q27F | 4Q27F | 1Q28F | 2Q28F | 3Q28F | 4Q28F |
|--------------------------------|---------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| <b>Central bank rates (%)</b>  |               |       |       |       |       |       |       |       |       |       |       |
| US (Upper bound)               | <b>4.00</b>   | 4.00  | 4.25  | 4.25  | 4.25  | 4.25  | 4.00  | 3.75  | 3.50  | 3.50  | 3.50  |
| Eurozone (deposit rate)        | <b>2.50</b>   | 2.50  | 2.75  | 2.75  | 2.75  | 2.75  | 2.50  | 2.50  | 2.50  | 2.50  | 2.50  |
| UK (Bank Rate)                 | <b>3.75</b>   | 3.75  | 3.75  | 3.75  | 3.75  | 3.50  | 3.50  | 3.25  | 3.25  | 3.25  | 3.25  |
| <b>10-year bond yields (%)</b> |               |       |       |       |       |       |       |       |       |       |       |
| US                             | <b>4.95</b>   | 5.00  | 5.10  | 4.90  | 4.75  | 4.60  | 4.50  | 4.50  | 4.50  | 4.50  | 4.50  |
| Germany                        | <b>3.50</b>   | 3.50  | 3.40  | 3.30  | 3.25  | 3.10  | 3.10  | 3.10  | 3.10  | 3.20  | 3.20  |
| UK                             | <b>5.26</b>   | 5.20  | 5.30  | 5.20  | 4.80  | 4.60  | 4.55  | 4.50  | 4.50  | 4.50  | 4.50  |
| <b>EUR/USD</b>                 | <b>1.1480</b> | 1.15  | 1.16  | 1.16  | 1.18  | 1.19  | 1.20  | 1.22  | 1.22  | 1.22  | 1.22  |

Source: ING

### Our new Fed call: One more hike

We had switched to expecting a September Fed rate hike in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, but characterised it as a likely one-off recalibration move akin to the single hike delivered by Alan Greenspan's Fed in 1997. However, the fact that only two FOMC members believe the central bank won't hike again this year suggests a broader hawkish repositioning has already occurred within the committee.

This has not been driven by economic data. The low-hire, low-fire labour market is keeping a lid on wage growth, which in turn should limit the scope for second-round price effects from higher energy costs. Meanwhile, tariff-related cost increases have largely worked through, with IEEPA tariff refunds providing a cash flow boost to corporate America. The largest component of inflation, shelter, is also looking less threatening, with the stagnant property market contributing to cooling housing rent metrics. We also remain sceptical of so-called "chipflation" given the small weighting within the inflation basket for impacted categories of goods and the

fact the US uses hedonic pricing, which incorporates quality improvements into price calculations.

Instead, it appears the Fed is increasingly focused on accelerating the pace at which inflation converges on the 2% target, fearing the protracted conflict in the Middle East will keep energy-impacted components elevated for longer and risk broader cost increases if left unchecked. We now expect this to mean at least one more rate rise.

In terms of timing, there are two more meetings this year. The first is 28 October, but we only have one round of jobs and inflation data between now and then; the proximity to the mid-term elections on 3 November could also prove a complicating factor. Unless the September jobs numbers and inflation data are very hot – which would leave little choice on a hike – we suspect the Fed would prefer to wait until 9 December.

Only 4 of 18 FOMC members anticipate the need for two hikes this year, but eight do expect a second hike next year. That is going to be contingent on the energy story. Our assumption of a Middle East de-escalation, improved energy flows, and lower prices over the next six months would likely mean an additional hike would not be needed – and as such, we forecast a peak of 4.25% followed by a prolonged pause.

Economic growth remains resilient, but the hefty upward moves at the long end of the yield curve will act as a brake on economic activity in an environment where real household disposable incomes have flatlined for 18 months. There are already signs of consumer stress in the form of low savings rates and rising credit card and auto loan delinquencies to levels last seen during the Global Financial Crisis. The lack of business capex growth outside of the tech sector also underscores the concentration risk within the US economy right now. As a result, we tentatively suggest we could start to see the Fed reversing course again from late 2027, particularly if energy prices are experiencing significant falls by then.

### **Our new ECB call: A December rate hike**

Last week's ECB was not outright hawkish but more subdued and subtle hawkish. Christine Lagarde's downplaying of the concept of neutral interest rates can be seen as a way to prepare the grounds for further hikes. The fact that the staff projections see headline inflation only dropping below 2% in Q4 2027, while at the same time core inflation is expected to increase slightly were also hidden hawkish messages. At the same time, though, there are currently no signs of knock-on effects from higher energy prices. The risk is high that the ECB's own models are not fully capturing structural shifts and are overestimating the broadening of inflation in the economy.

Still, oil prices above 100 USD/bbl and the ECB still regretting its too late response to the inflation shock in 2022 are likely to push the ECB towards another rate hike before year-end. A hike that would still fall in the category 'insurance rate hike', with an increasing risk that

unwarranted damage to the economy could be done.

Looking beyond the next hike, we still think that market expectations of at least two more hikes in 2027 are overdone. It won't take a lot to undermine the picture of eurozone resilience. A picture that is too obvious also painted in the last ECB projections. GDP growth estimates of 0.3% to 0.4% quarter-on-quarter throughout 2027 and 2028 look highly optimistic. We wonder whether there shouldn't be more of an adverse effect on growth from higher oil prices and higher interest rates. Already next week's sentiment indicators (PMIs and Ifo) could change the picture of unbreakable resilience.

As long as there is only very limited spreading of the energy price shock to the rest of the economy, there is very little reason for the ECB to continue hiking next year. Every additional rate hike increases the risk of an unwarranted slowdown of the economy. If we are right and oil prices come down towards the end of this year and knock-effects from higher energy prices remain limited, we don't see additional rate hikes in 2027. If we are wrong, the story could clearly change.

### **Our Bank of England call: A hold in November (just)**

We're sticking to our Bank of England call, which is that rates stay on hold into 2027. But this is entirely contingent on energy prices coming lower.

The Bank is still visibly reluctant to hike rates, partly because there's no sign of second-round effects, and partly because rates are more obviously restrictive than in other economies – particularly with the degree of tightening priced into financial markets.

But at its September meeting, the Bank made it abundantly clear that it's getting harder not to act. It has indicated that at current energy prices, inflation is likely to narrowly top 4% early next year, if only briefly. And the Bank has said previously that 4%+ inflation is statistically more likely to trigger a wider and more persistent price shock.

If that forecast is maintained at the November meeting because energy prices have failed to come down, then we would expect a BoE rate hike. In that scenario, we'd expect a follow-up hike in the spring.

That 4% inflation forecast is not inevitable. A lot of it rests on the uprating of the regulated energy price cap in January, which in turn depends on average natural gas prices over an 'observation window' between mid-August and mid-November. If nothing changes, we're looking at a 25% increase in energy bills at the start of 2027, but we're only a third of the way through that window. A fall in gas prices would temper that increase and therefore the overall peak in headline inflation.

Given our call for natural gas and oil prices to move lower through 4Q, we think our existing call for the Bank of England to keep rates on hold into 2027 is still valid for now. We are, however,

pushing back our forecast for the first rate cut to 3Q next year.

### **Rates: Direction to come from US Treasuries (10yr from sub-5% to 5.25% to 4.5%)**

We've nudged higher anticipated end-year 10yr bond yield forecasts. It's a subtle move, but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. These levels are not wildly different from where we are now, but importantly, leave open the risk that some overshooting can occur in the intermediate period. That's a particular theme for the US 10yr where we've already closed above 5% twice in recent days. We're back below now, but we identify ongoing upside pressure for US long rates as a theme in the coming months. The eurozone has tended to share such moves, and will maintain a tendency to do so. Japanese long rates too should remain under pressure, and the same obtains for long-dated UK Gilts.

Front ends have been pricing in sequences of rate hikes for some time now, across all four major central banks. Specifically, so-called "carry spreads" (official rates to the 2yr) in the 75bp to 100bp range signalled market readiness for the delivery of a "few" hikes by central banks, without specificity on timing. This remains the case, with carry spreads of 65bp, 75bp, 90bp and 95bp for the ECB, Fed, BoE, and BoJ respectively. Think of neutrality at around 30bp, and anything above that as an implied market rate hike discount. The actual delivery of rate hikes is important, as it validates the prior evolution of carry spreads and, in turn, acts as a calming influence for long-end rates. We saw some of that play out as the Fed hiked by 25bp and intimated more. It helped calm long-end inflation expectations and take the US 10yr yield back below 5%.

However, even if inflation expectations have nudged lower, there are other pressures that long ends need to contend with. The first is issuance pressure, or more pertinently, the medium-term issuance narrative stemming from fiscal largesse; we can throw in long-duration hyperscaler issuance as a contributing factor, too. That's the "bad". Then there's the "ugly", in the guise of ongoing energy price pressure stemming from the Iran war. And there is the "good". Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last bit was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters. There's no doubt that central bank rate hikes help calm such jitters – but they do not make them disappear.

It took some time, but markets have finally developed a laser focus on deteriorating debt dynamics and medium-term financing concerns, particularly in the US. It's not impossible that we get through the coming months without another significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-

end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. Thereafter, we would expect a period of calm, particularly through 2027, as inflation ultimately heads lower. But first, we need to get through 2026.

### **FX: Short-term downside risk, but EUR/USD profile unchanged**

EUR/USD currently has three primary drivers: short-term rate differentials, oil prices and global risk sentiment. Let's look at how these can change and impact the pair in the coming quarters based on our updated views.

1. **Short-term rates (neutral impact).** The EUR and USD swap rate curves look quite similar in their front-end segment – the most relevant one for the currency market. In both countries, rates are expected to be around 70-80bp above current levels at the end of 1H27. While we've revised our central bank calls higher, we remain firmly more dovish than those expectations. One hike each for the ECB and the Fed means similar dovish repricing in both curves in the next couple of quarters. The short-term rate impact on EUR/USD should therefore remain close to current levels into year-end and then gradually tighten throughout 2027. That implies an initially neutral and then gradually positive impact on EUR/USD.
2. **Oil prices (positive impact).** The premise of our dovish rate calls relative to the market is that oil prices will come lower and take the pressure off central banks. Our commodities team still targets an \$80/bbl average for 4Q26. While the oil-EUR/USD correlation can weaken in an energy price decline, it should support the pair on the margin.
3. **Risk sentiment (positive impact).** With the caveat that tech-related jitters can re-emerge at any time, the decline in short-term USD funding costs included in our forecast normally has a positive knock-on effect on FX liquidity and global market sentiment. Lower oil prices would also help in that direction. We expect a positive impact on EUR/USD in our baseline.

Taking all the above into account, we aren't changing our forecast for year-end in EUR/USD: 1.160 is fully in line with the scenario outlined for these drivers according to our calculations. However, risks are more skewed to the downside in the coming weeks.

We feel that the Fed's hawkishness has left EUR/USD more vulnerable, and 1.140 can certainly be tested, with risks extending to the 1.132 June lows if oil prices jump again and the Fed hikes rates in October. Looking at 2027, risks are also on the downside relative to our latest [forecasts](#), which included a move to 1.20 by year-end. That's due to the highest carry attached to USD after two more hikes. That said, if markets start to price in Fed cuts late next year, a broad-based dollar decline remains very possible.

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Article | 16 September 2026

FX RATES UNITED STATES

## Federal Reserve hikes 25bp, suggests another to come

The Federal Reserve raised the policy rate 25bp and signalled they may raise rates a second time before a long hold throughout 2027.

Nonetheless, we see more labour slack than the Fed and remain a little more optimistic on the inflation backdrop. If we see a resumption of energy flows from the Persian Gulf, the situation would favour a "one and done" outcome



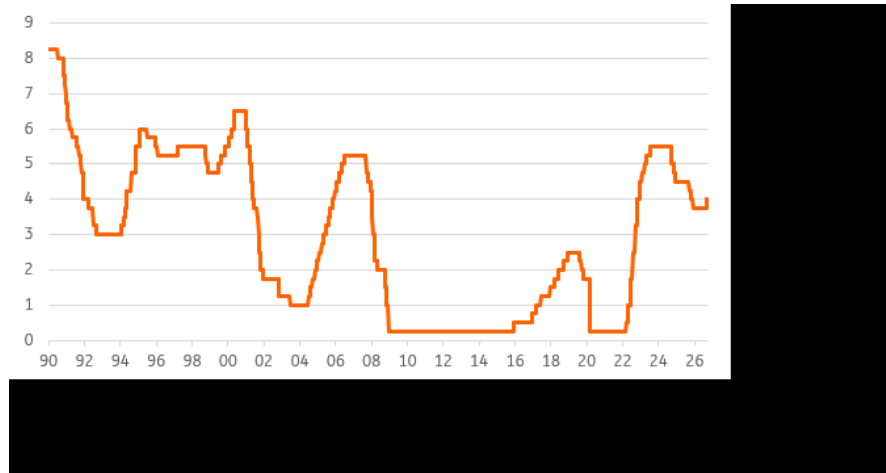
Fed Chair Warsh at today's press conference in which interest rates were raised by 25bp

### Fed hike to "support a timelier return" of inflation to target

The Federal Reserve has hiked rates 25bp to a target range of 3.75–4%, as widely expected. Markets had moved to swiftly price such an outcome in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, with subsequent hotter-than-anticipated jobs and core inflation data merely making it a formality.

The decision was unanimous and the press release was brief, as it has been after all three decisions under Warsh's leadership. Economic activity is "solid", but uncertainty and inflation remain "elevated". Nonetheless, today's decisions will "support a timelier return to the Committee's 2 percent goal".

## Fed funds ceiling rate (%)



Source: Macrobond, ING

## Fed points to one more hike followed by a long hold

In terms of the guidance, the central projection within the Fed's summary of economic projections has one more rate hike this year, in line with market pricing, with the central range holding at 4.125% through 2027. They then have the mid-point of the Fed's funds target range at 3.875% for 2028 and 3.625% for end-2029 and 3.25% for the "longer run". This is a higher profile range than they projected in June, but is below the market pricing of three additional 25bp hikes.

## Federal Reserve's economic projections

|                                       | 2026  | 2027  | 2028  | 2029  | Longer run |
|---------------------------------------|-------|-------|-------|-------|------------|
| <b>Change in real GDP (4Q YoY%)</b>   | 2.3   | 2.4   | 2.2   | 2.1   | 2.0        |
| Previous Fed projection (June)        | 2.2   | 2.3   | 2.2   | -     | 2.0        |
| <b>Unemployment rate (% year end)</b> | 4.1   | 4.1   | 4.1   | 4.1   | 4.2        |
| Previous Fed projection (June)        | 4.3   | 4.3   | 4.2   | -     | 4.2        |
| <b>Core PCE inflation (4Q YoY%)</b>   | 3.4   | 2.5   | 2.2   | 2.0   | 2.0        |
| Previous Fed projection (June)        | 3.3   | 2.5   | 2.1   | -     | -          |
| <b>Federal funds rate (year end)</b>  | 4.125 | 4.125 | 3.875 | 3.625 | 3.25       |
| Previous Fed projection (June)        | 3.8   | 3.6   | 3.4   | -     | 3.1        |

Source: Federal Reserve, ING

Within the actual dot plot there are only 18 submissions, suggesting Kevin Warsh again declined to offer a view. Only 2 of the 18 FOMC submissions had no further rate hike this year, suggesting strong backing for another move, and similarly, there are only 4 of 18 that expect to see any sort of rate cut next year. There are 8 of 18 expecting the policy rate mid-point to be 4.375% (2 additional hikes) by end-2027. So this is a more hawkish Fed than in June with them revising up inflation and growth and revising lower unemployment projections despite

the data trends suggesting it should be the other way round - in our view.

Indeed, our growth, inflation and jobs forecasts suggest little need for further rate hikes, and it may well be that the Fed are striking a hawkish line in order to build more credibility with bond markets as they look to support Treasury efforts to anchor the long end of the curve.

### **One and done remains our call**

Ordinarily the assumption is that if the Fed hikes, they don't move just once, and indeed their forecast table does have a further hike pencilled in. However, this time around we think it may end up being a one-off. While August's jobs number was a healthy 162,000, between January 2025 and July 2026 the monthly average increase was a measly 31k with hiring indicators suggesting a reversion to that far slower growth rate is likely. Furthermore, while the unemployment rate is low at just 4.1%, the worker participation rate has plunged a full percentage point since early 2025. This suggests there is worker disengagement and more slack in the jobs market than looking at the unemployment rate alone indicates. It is hard to argue against that when wage growth is running at just 3%.

That weak wage growth will be helpful in keeping inflation in check and with the inflationary impulse from tariffs largely incorporated – and IEEPA tariff refunds being a cash flow boost – lower cost pressures here help mitigate higher energy and fuel costs. Furthermore, the shelter component, with a 35% weighting in the CPI basket, should continue to moderate given the stagnant property market and cooling private sector rents. The key uncertainty is energy and the lack of progress surrounding oil and gas flows from the Strait of Hormuz, which has meant headline disinflation has stalled. Nonetheless, our geopolitical assessment is that the situation will improve, and oil prices will resume their declines later in the year, which will rapidly improve the inflation backdrop.

Given market and consumer inflation expectations remain in check, we see parallels with the late 1990s – cuts in early 1996 before a pause, then a one-off 'risk management' hike enacted by Alan Greenspan's Fed in March 1997 before a long pause through late 1998.

### **The Fed calms the back end, but we'd not be getting too comfortable on it ahead**

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

### **FX: Hawkish hike reinforces dollar momentum**

The Fed's message of policy discipline is likely to raise the bar for de-basement trades to re-emerge anytime soon. That should limit downside risks for the dollar, leaving it better placed to benefit from supportive external drivers. As long as energy prices remain firm, we see little reason to fade the current USD appreciation trend.

With the door still open to additional tightening, the dollar also retains upside risk around upcoming data releases. Strong prints could bring hike expectations forward to October, where markets currently price 11bp.

EUR/USD broke below 1.150 after the announcement, and there is little in the way of obvious support before the 1.1330-1.1360 area, where the June decline found a floor. That is likely the extent of near-term downside risk. Our forecast remains more optimistic, albeit heavily reliant on an improvement in the Gulf situation and rapid oil decline by year-end. We target 1.150 for end-September and a modest bump to 1.160 by year-end.

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Article | 10 September 2026

## ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

### Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

### Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 22 September 2026

FX

## FX Daily: Hawkish Fed speak breaks oil-USD link

While oil prices declined and global equities rallied, the dollar had a strong start to the week. That's primarily thanks to hawkish comments from Federal Reserve officials Austan Goolsbee and Alberto Musalem, which prevented US front-end rates from following the global correction. EUR/USD still faces mostly downside risks in the near term



### ↑ **USD: Hawkish Fed speak supports dollar**

The dollar had a strong start to the week despite a decline in oil prices and strong risk sentiment. In our view, part of the move reflected a catch-up to levels seen before Friday's reported Bank of Japan rate check, which had damaged USD momentum across the board.

Hawkish Fed commentary was however the clearest driver. Chicago Fed President Austan Goolsbee warned that supply shocks, combined with strong spending and AI-related investment, could keep inflation persistent. He added that the path back to 2% inflation may not be painless. Although he is a non-voter in 2026, Goolsbee sits near the centre of the FOMC spectrum and is therefore viewed as a useful gauge of FOMC consensus.

Later in the day, St. Louis Fed President Alberto Musalem reinforced the hawkish message,

arguing that front-loaded gradual tightening is preferable and that policy remains accommodative. Musalem is seen as one of the more hawkish members and may be among the four officials who projected two additional hikes this year in the dot plot, although he is also a non-voter.

The comments supported front-end USD rates on a day when Brent briefly slipped below \$100/bbl, pulling other G10 rate expectations lower. Fedspeak will continue to have the potential to break the oil-USD relationship during periods of falling energy prices, as the Fed is viewed as being more fundamentally focused on inflation while other developed central banks are seen as more sensitive to oil price dynamics. Today, we'll hear from two dovish voices, John Williams and Philip Jefferson. Any hawkish comments from them could have a deeper impact. Tom Barkin (neutral, non-voter) will also deliver remarks.

Yesterday's price action has reinforced our view that near-term risks for the dollar remain skewed to the upside. DXY may be headed to 101.0 already before the end of the month. The data calendar remains light in the US, with only weekly ADP jobs figures and the Richmond Fed manufacturing index worth mentioning today. The UN General Assembly has started in New York, with President Trump delivering an address and expected to hold talks with Gulf states today.

*Francesco Pesole*

### 📉 EUR: Falling fair value

EUR/USD short-term fair value based on our 60-day model has dropped below 1.150 for the first time since late July. Interestingly, oil prices are showing a small beta, with equities and rate differentials the dominant drivers. The spread between the two-year SOFR and ESTR has widened to 150bp, also to levels last seen in July.

European Central Bank officials have so far maintained a notably hawkish tone, keeping an October hike firmly on the table. Even so, investors appear increasingly willing to embrace the opposite narrative, pointing to further near-term downside pressure on EUR/USD.

Our baseline, still, is that hawkish expectations are too aggressive on both sides of the Atlantic. We expect just one additional hike from both the ECB and the Fed this year, followed by no further tightening in 2027. That view supports our 1.160 year-end EUR/USD forecast. In the near term, however, the risks favour a retest of the 1.1320-1.1330 lows reached in June.

Today's focus is on a busy slate of ECB speakers, including ECB President Christine Lagarde. On the data side, the only notable release is the eurozone consumer confidence indicator for September. Meanwhile, the French 10-year spread over German bunds has hit the 100bp mark. The FX market is treating this with caution, but risks of further spread widening remain, and the EUR may start to pay greater attention soon.

*Francesco Pesole*

### ↓ **GBP: Holding pattern**

EUR/GBP has traded in a fairly tight range of 0.855-0.860 since the start of September. Last week's Bank of England meeting was not as hawkish as the ECB or the Fed, but equally failed to really push back against aggressive market pricing for tightening.

Markets are attaching a large probability of a BoE rate hike in November (c.75%) and a huge 92bp by June. Our economists' call is still for no rate increase, which results in a bearish GBP outlook as our baseline. Even if another oil price jump prompts a November move, it seems unlikely the BoE will match market expectations for further tightening, meaning some large dovish repricing should still occur at some point.

In the coming weeks, we'll hear more about the content of the UK October budget. The pound isn't embedding any fiscal risk premium for the moment. We still expect a move to 0.870 in EUR/GBP on the back of the central bank story.

*Francesco Pesole*

### ↑ **HUF: Hawkish NBH signals should support the forint**

The National Bank of Hungary is [expected to pause its current "mini" easing cycle](#), leaving the policy rate at 5.50%. It will also publish a new forecast and may review its inflation target, potentially outlining a two-step reduction from 3.0% to 2.0%.

Hungary remains the key CEE story, with by far the largest long positioning across asset classes, driven by the idiosyncratic post-election narrative and prospects for euro adoption. However, the recent surge in global energy prices has again highlighted Hungarian assets' high beta to global markets, reflecting both the economy's exposure to energy costs and crowded positioning. Rate expectations have consequently repriced sharply higher over the past two months, reinforced by reports that the NBH may pause rate cuts to strengthen the case for lowering its inflation target.

The front end now prices less than one full cut, a view that may be tested today. At the same time, we would not be surprised if the market started to price a small chance of rate hikes in the event that energy prices start rising again, as elsewhere in CEE, despite our forecast for cuts later this year. By contrast, a lower inflation target should support the long end, pointing to further flattening even though the curve is already inverted. The forint should also benefit from a more hawkish NBH: both a pause and a lower inflation target would signal tighter policy for longer and enhance the carry appeal. Still, the domestic story is having limited market impact, and a sustained rally in FX and fixed income is unlikely without some progress in the geopolitical situation.

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Article | 21 September 2026

RATES SPARK

## Rates Spark: Time not on France's side

The spread between 10Y French government bonds (OATs) and German Bunds has tightened below 100bp again, but we see more upside risks than downside risks going forward



Given France's precarious fiscal position, we think spreads between 10y German and French government bonds will continue to widen

### Tough to see French spreads tighten in the near term

EUR rates started the week better supported, which was mostly owing to oil prices sinking towards US\$100/bbl and taking front to intermediate rates lower alongside. Risk sentiment also improved on the back of these developments. Within the European government bond space, this has helped pull back the 10y OAT/Bund spread to below 100bp – albeit only briefly.

At the end of last week, we had seen the spread-widening dynamic accelerate on the back of the French government's planned €54bn efforts to bring the deficit back to 5%. It is an effort that will likely face strong political headwinds. But even beyond that, we argue that time is not in favour of French bond spreads. After this year's budget, the focus will turn to the presidential elections. Those are likely followed by legislative elections and another potentially difficult government formation process.

The European backdrop is also less favourable. Coming out of Covid came with the sense of the crisis having instilled a greater sense of solidarity in the Union. Parsing the results of the German state elections but also looking at the strong polling of Le Pen in France, one now senses sentiment starting to turn again.

Without any positive developments in the Middle East and/or more encouraging headlines in the political arena, we think the 10y OAT spread could occupy a range of 100 to 125bp in coming months. And nervous eyes will increasingly turn to the European Central Bank for a solution. The hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further monetary policy tightening.

### Tuesday's events and market views

Watch for some geopolitical headlines from the sidelines of the UN General Assembly this week, where President Trump is scheduled to meet Gulf leaders on Tuesday. There won't be much in terms of data out of the eurozone, with preliminary consumer sentiment for September the only highlight. Consensus sees a slight worsening as the conflict in the Middle East has escalated again. Weak consumption growth remains a drag on the eurozone economy and is unlikely to turn more positive in this environment. There will be quite a few speakers from the ECB, though, including Nagel, Kocher and President Lagarde. We will be listening for comments that could push back against the hawkish market pricing.

The only noteworthy US data releases of the day are the Philadelphia Fed non-manufacturing and the Richmond Fed manufacturing indices. We will also get the ADP weekly payrolls' data. Scheduled Fed speakers for the day are Williams, Jefferson (on Treasury market functioning) and Barkin.

In government bond primary markets, both Germany and the UK will auction 5y bonds. Italy mandated banks for a new 12y green bond, which should be Tuesday's business. The US Treasury will auction new 2y notes.

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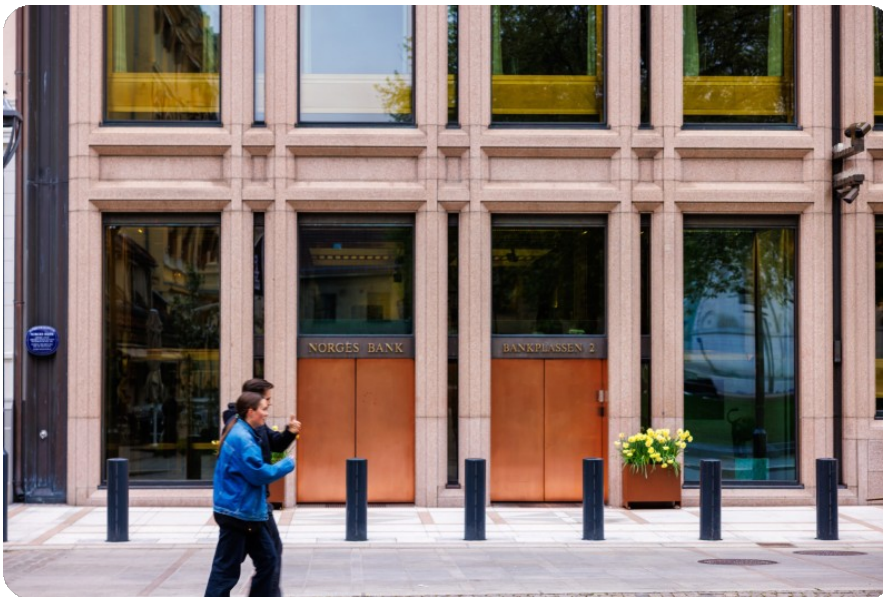
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Article | 21 September 2026

FX NORWAY

# Norges Bank set to hike rates again in a close call

Norges Bank faces a finely balanced decision, but we expect a final 25bp hike to 4.50% on Thursday. While core inflation has undershot projections, headline inflation remains above forecast and domestic conditions are still firm. Markets already price in most of a hike, reducing the cost of tightening. EUR/NOK may face more pressure before any recovery



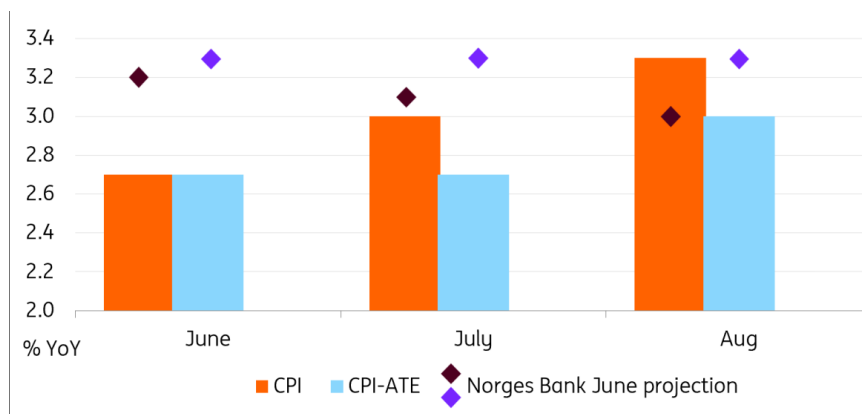
Norges Bank in Oslo

## Mixed inflation signals

Consensus is evenly split on whether Norges Bank will hike interest rates again at the 24 September meeting. We expect a 25bp hike to 4.50%, but understand why this is a close call. Inflation has undershot Norges Bank's expectations over the summer, with underlying CPI (CPI-ATE) easing to 2.7% in June and July before rebounding to 3.0% in August, still below the central bank's 3.3% projections for all three months.

By contrast, headline inflation is now 0.3pp above Norges Bank's projections, at 3.3%. The June rate path had already pointed to a likely hike to 4.50% in September, with rates then expected to stay broadly unchanged through mid-2027.

## Higher headline, lower underlying inflation



Source: ING, Norges Bank, Macrobond

## Overall backdrop still favours tightening

While price dynamics were more benign over the summer, we think Norges Bank's inflation concerns remain. Higher energy prices should continue to support headline CPI and could still feed through more broadly. Economic conditions remain solid, according to Norges Bank's regional survey, with wage growth expected to stay elevated at 4.0% in 2027.

That's a backdrop that can tilt the balance towards insurance tightening even if data has not proven particularly worrying. With the Federal Reserve and European Central Bank both signalling another hike by the end of the year, the external pressure is also on the hawkish side.

One final reason why we think Norges Bank will hike is that markets are pricing in 16bp for this meeting. The cost of disappointing expectations may outweigh that of tightening too early in a rather healthy economy. Anyway, should they opt for a hold, we expect strong hints of another hike by year-end.

## Extra support for NOK, but oil remains key

Market pricing beyond September is nowhere as aggressive as for the Fed or the ECB, with 38bp priced in total for January and a flat curve for the remainder of 2027. As a result, Norges Bank faces little pressure to lift its rate projections materially. We nonetheless expect updated forecasts to show some probability of a further fourth-quarter rate hike, while the statement should continue to leave the door open to additional tightening. Our baseline is that this September move is the last one for this cycle.

A hike should support NOK's recent strength. We maintain a near-term EUR/NOK target of 10.70, with potential to reach 10.60. That said, our end-4Q target of 10.60 is beginning to look somewhat too bearish. We now expect another ECB hike in December, and our commodities

team's baseline scenario is for a sharp fall in oil prices from 4Q: a backdrop more consistent with EUR/NOK returning to 11.00.

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Article | 21 September 2026

POLAND

## Moody's downgrades Poland's rating amid lack of fiscal consolidation

Moody's downgraded Poland's long-term sovereign rating by one notch to A3 from A2. At the same time, the agency changed the rating outlook from negative to stable. Moody's points to a sustained deterioration in Poland's fiscal position and a limited willingness to rebuild fiscal buffers during a period of favourable economic conditions



Moody's cut Poland's long-term sovereign rating from A2 to A3 on a deterioration in the fiscal position and limited willingness to rebuild fiscal buffers. Pictured: Poland's Ministry of Finance building

### Moody's decision is a warning signal for politicians mainly

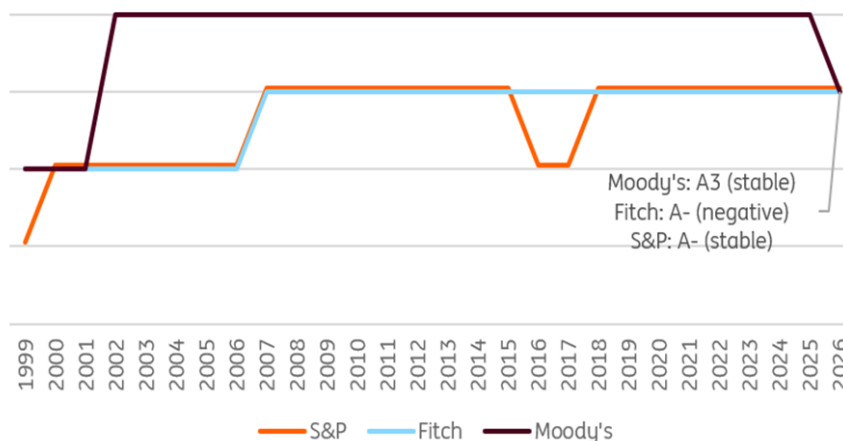
The financial market reaction to Moody's decision has been muted, which is hardly surprising. Investors have been closely monitoring Poland's fiscal position and had already priced 1–2 notches of a downgrade. This was reflected, among other things, in 1) the highest asset swap spreads in the region, unusual for a sovereign rated A2, and 2) the historically low share of foreign investors in government bond holdings, which has been consistently decreasing for over a decade.

It is worth recalling that Poland's sovereign rating has been on an upward trajectory since the 1990s, reaching its peak in the middle of the previous decade. The first downgrade in 2016 (reverted shortly after), by S&P, reflected concerns over the deterioration in the country's

institutional framework and the rule of law. The latest downgrade by Moody's, in turn, reflects years of high fiscal deficits, rising public debt and the lack of a clear path towards fiscal consolidation in Poland's policy mix. In its statement, Moody's highlighted a weakening in the effectiveness of fiscal policy. Expansionary fiscal policy was maintained despite favourable economic conditions, while fiscal buffers were not rebuilt. Political constraints are also an obstacle to fiscal consolidation.

Moody's decision sends a warning signal mainly to both the politicians and the public. In our view, Poland's public finance needs around 4% of GDP adjustment to prevent the debt from rising and clearer expenditure prioritisation, neither of which is apparent in the proposals being put forward by various political parties as the election campaign gets under way.

### Rating agencies views on Poland



Source: S&P, Fitch, Moody's

### Solid growth potential recognised by investors

Still, the economy presents impressive growth potential, which is clearly illustrated by the behaviour of foreign investors, who tend to take a particularly critical view of economic fundamentals. Their share of turnover on the Polish equity market has continued to rise and has now exceeded 70%. At the same time, as noted above, their holding in the Polish government bond market has been declining. Foreign investors now hold only around 12% of Polish government debt, the lowest share in Central and Eastern Europe.

### Moody's return to a stable outlook reduces the risk of another downgrade. The post-election fiscal landscape will be key

Moody's decision brings its assessment of Poland's long-term rating in line with other two major rating agencies, Fitch and S&P, although Fitch is now the only one of the three to maintain a negative outlook. In Moody's case, the return to a stable outlook is likely to

temporarily reduce the risk of another downgrade, but in our view, only for a limited period. The issue could return to the fore after the 2027 parliamentary election if the new government fails to deliver meaningful fiscal tightening.

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Article | 21 September 2026

RATES THE NETHERLANDS

## Dutch pension funds no longer a shock absorber of higher rates

Dutch pension funds once provided a natural source of demand as rates rose. The new pension framework offers less flexibility, making a similar wave of receiver-swap buying less likely. We still see demand for credit, mainly in assets that closely track euro swaps

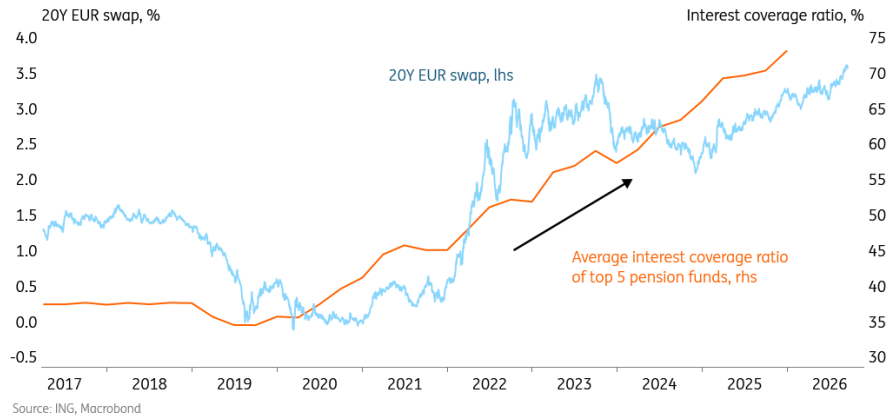


Dutch pension reforms are changing how funds manage risk and respond to rising rates

### Pension funds won't jump in to absorb the rise in rates under new system

Under the old system, pension funds often had greater flexibility in managing liability hedges, triggering large flows into euro fixed receiver swaps when rates rose. This was particularly noticeable after 2021, when interest coverage ratios rose by some 30 percentage points. Pension funds had reduced their hedges during the low-rate environment and increased them significantly again when rates rose on the back of higher inflation. This helped to lock in healthy funding ratios.

## Pension funds increased interest rate hedges when rates and funding ratios rose



The new system does not offer the same dynamic hedging flexibility, which also means pension funds will be less opportunistic when rates rise. Instead, the interest rate hedging ratios per age cohort are predetermined in each fund's transition plans. For instance, ABP (the largest fund with €500bn assets), sets a 10% hedging ratio for younger participants, which then rises to 75% for those in retirement. In theory, these could be adjusted at later stages, but doing so is more complex than under the old system.

More static hedging and structurally lower demand for longer-dated rates add to the upward pressure on 30Y euro swap rates. Liquidity conditions at the long-end of the curve can also deteriorate, something we've already observed in recent market moves. For this reason, we continue to see steepening pressures on the 10s30s curve, although much hinges on the global macro environment. A flattening of the 5s10s on the back of higher oil prices pushes against these forces.

## Most pension funds are still incentivised to track the EURIBOR curve

Whilst the new system no longer relies on a funding ratio, the EURIBOR 6M curve remains an important benchmark for hedging purposes. So even though we see scope to rotate away from government bonds to credit, we expect funds to remain focused on credit products that closely track the swap curve.

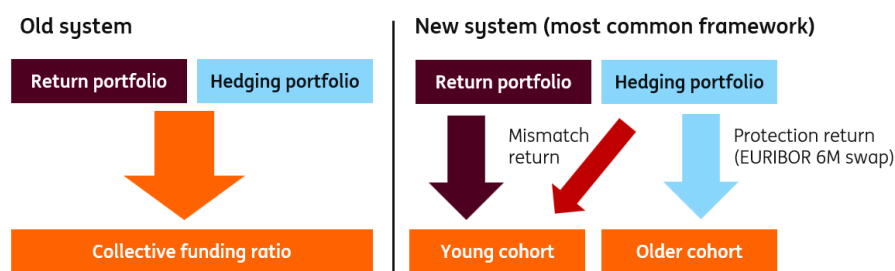
The old system did not distinguish between individual returns – everything went into one big pot – which was easy to report and communicate to participants. Better portfolio returns would simply translate into a higher funding ratio. All liabilities were also hedged together. If the portfolio of hedges did not follow the regulatory discount rate closely (i.e. the EURIBOR 6M swap curve), the difference would simply be captured in the overall return of the portfolio. A

relative gain due to, for example, positive swap spreads, would benefit all participants equally.

In the new system, interest rate hedging is applied by age cohort, and consists of a “protection return” and an “excess return” component. In practice, this still means funds manage two portfolios, but the allocation of each portfolio’s returns changes over a participant’s life cycle. Young participants are almost entirely exposed to the excess return whereas those in retirement are mostly exposed to the protection return.

The protection return can be calculated using the theoretical returns from a EURIBOR swap or from a dedicated hedging portfolio. Most funds seem to choose the theoretical method but still construct a hedging portfolio that includes a mix of bonds and swaps. This leads to a mismatch between the actual return of the hedging portfolio and the protection return allocated to participants. The mismatch is added to the excess return component, which means that young participants will mostly absorb this.

### Mismatches with the swap curve get allocated to younger participants



Source: ING

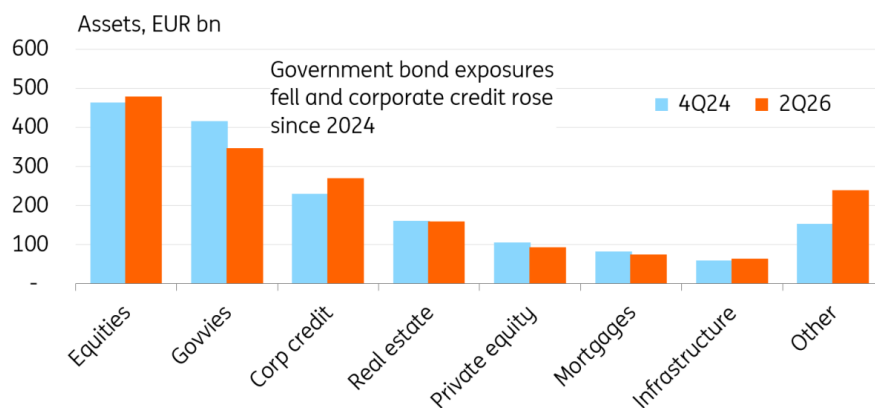
The mismatch can, for instance, stem from sharp credit spread moves and can be difficult to explain to younger participants. Young participants might find themselves penalised by losses in the hedging portfolio, even though those investments are primarily for older participants. To avoid communication challenges, pension funds will therefore still be incentivised to construct a hedging portfolio that closely tracks the swap curve.

### Credit to benefit, but only those trading in line with euro swaps

Whilst we anticipate a rotation away from government bonds towards corporate credit for the hedging portfolio, credit quality will remain important. Government bonds no longer benefit from preferential regulatory treatment and the shortening of duration will also help other credit products. Therefore we anticipate an increase in demand for investment grade and Supranational, Subsovereign and Agency (SSA) bonds. But at the same time, we acknowledge credits with more volatile spreads versus swap curves will look less attractive to hold for hedging purposes. The latest data already confirms a gradual rotation from government bonds to corporate credit.

In addition, as the new system offers a clearer separation of risk for younger and older participants, we could see less demand for assets with a more moderate risk profile. Pension funds can increase the exposure to riskier assets without negatively impacting older participants. As such, categories such as USD bonds and emerging market hard currency debt might see a structural fall in demand.

### Corporate credit benefits from the reforms, at the expense of govies



Source: ING, DNB

### Pension funds will be forced to rebalance hedges more frequently

Moving from a defined benefits (DB) to defined contribution (DC) system also changes the liabilities base for hedges, forcing more frequent rebalancing. Liabilities under the old system were relatively stable since these were promised payments in the future. In the new system, the liabilities are a direct function of the fund's total assets, which is volatile by nature and moves up and down alongside global financial markets.

When equities rise in value, pension funds will have to increase interest rate hedges to match higher liabilities. In theory, this should trigger large swap flows on a monthly basis, to assure compliance with the set hedging ratios. In practice, however, pension funds will likely operate with narrow ranges around the hedging targets. While this should avoid sharp flows on every market move, we still anticipate more activity than under the old system.

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Article | 16 September 2026

TMT INDIA PHILIPPINES

# Why India and Philippines aren't losing the AI battle – yet

AI disruption fears look premature in India and the Philippines. India's business services exports have more than doubled as a share of GDP since Covid, as the Philippines digitally delivered services exports grow even as the mix shifts. The evidence points to adaptation, not decline. AI is reshaping what gets outsourced, not shrinking demand for it



## Why AI matters for India and the Philippines

India and the Philippines have long emerged as global outsourcing powerhouses, leveraging skilled labour, English proficiency, and cost competitiveness to build large software, IT, and business services sectors.

The rise of AI, therefore, matters disproportionately for both economies. Many outsourced services involve routine tasks that AI can increasingly automate, raising questions about the future of services exports and employment.

The stakes are high. The Philippines accounts for an estimated 15-17% of the global business process outsourcing (BPO) market, while India commands more than half of the global outsourcing industry. These sectors are important export earners, generating more than \$40bn in annual revenue in the Philippines and around \$205bn in software services exports in India. But they're also major sources of employment in the Philippines and India, supporting roughly 1.9 million and 5.8 million workers, respectively.

The sector's resilience matters because services exports play a critical role in financing persistent current account deficits of both economies. In the Philippines, telecom and business services exports amounted to around 7% of GDP in 2025, more than offsetting the country's current account deficit of 3.5% of GDP. In India, software and business services exports stood at roughly 8.5% of GDP, compared with a current account deficit of 0.5% of GDP. So, services exports are more than just a source of growth and employment. They're a key pillar of external stability, providing an important buffer for the balance of payments and serving as a crucial source of support for the peso and the rupee.

### **Are services exports showing signs of disruption?**

India's software services exports show little sign of AI-driven disruption. Export growth remained robust at around 12% year-on-year in mid-2026, slightly above pre-pandemic rates. Software services exports have risen to roughly 5.2% of GDP from 3.3% before Covid.

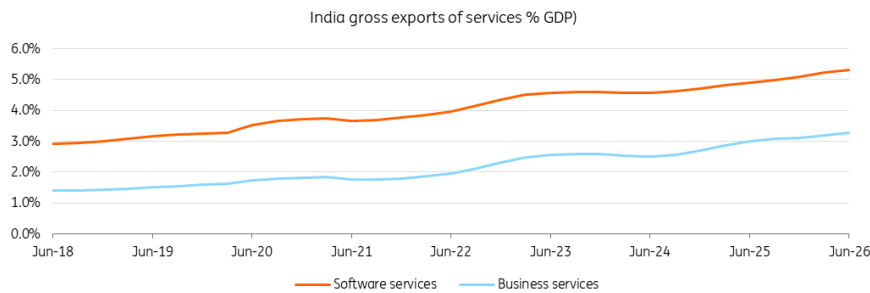
While part of the initial increase reflects a post-Covid surge in digitalisation and outsourcing demand, the trend has remained firmly intact even after that boost faded. In fact, software services exports have increased by a further 1ppt of GDP since the mainstream AI explosion with the launch of ChatGPT in 2022, suggesting that demand for Indian technology and business services continues to expand despite rapid advances in AI.

More interestingly, business services exports have accelerated sharply. They've more than doubled their share of GDP to 3.3% from 1.6% before Covid. This category captures many of the higher-value activities that firms increasingly offshore to India, including finance and accounting, risk management, legal and compliance support, engineering design, R&D, analytics, and consulting. As firms shift from traditional back-office outsourcing toward more knowledge-intensive work, demand for these services is holding up strongly despite rapid advances in AI.

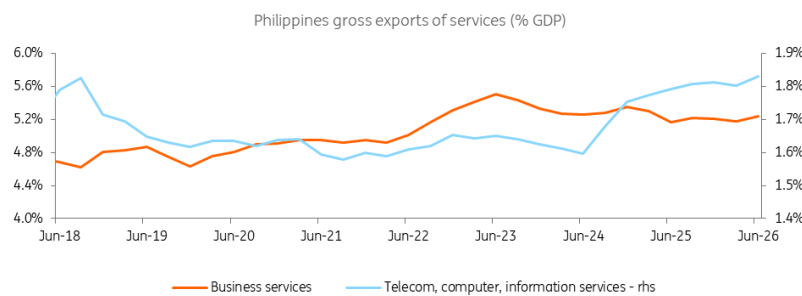
In the Philippines, this resilience has been notable, though growth has been more modest than in India. Telecom/computer services and business services exports have continued to expand, lifting their combined share of GDP to 7.1% by mid-2026 from 6.3% before the pandemic. The composition, however, has been different. Telecom and computer services have emerged as the main growth engine, while business services have moderated after the post-Covid surge in outsourcing demand. Even so, little evidence suggests AI has materially weakened external demand for Philippine services exports.

Yet strong export growth doesn't mean AI has no impact on the industry. Rather, the disruption is increasingly visible in the composition of outsourced work and the skills in demand.

## India is seeing a sharp acceleration in business services exports



## Philippines – computer services take the lead



Source: CEIC

## AI is changing the nature of work, not eliminating demand

While BPOs have traditionally relied on repetitive, rules-based tasks, AI is increasingly automating these activities. Large language models are improving efficiency in customer support, legal reviews, claims processing, document verification and data entry, allowing many tasks to be completed in a fraction of the time previously required. The disruption is spreading beyond text. AI-powered voice assistants are becoming more capable of handling customer service interactions. AI-assisted coding tools are making software development faster and less labour-intensive.

As a result, industry growth is gradually shifting away from routine processing activities towards analytics, software development and other higher-value services. To understand where this growth is occurring, it's useful to look more closely at exports of all digitally delivered services (DDS). They capture a broader range of cross-border business and technology services delivered electronically, including both outsourced activities and work undertaken through multinational Global Capability Centres (GCCs).

## Global trade patterns favour higher-value services

The composition of global DDS exports suggests that higher-value services are becoming increasingly important. The largest category is other business services, which account for

around 40% of total DDS exports and include research and development, professional consulting, management and legal services. This is followed by computer services (20%), financial services (16%) and charges for the use of intellectual property (12%).

This is particularly relevant because GCCs increasingly undertake activities that fall within the "other business services" category, including finance, risk management, analytics, technology and R&D. Given the rapid expansion of GCCs in both India and the Philippines, DDS provides a more comprehensive measure of the sector's performance and resilience to AI.

### India is gaining share in higher-value services

India's strength lies in business services, the largest component of DDS exports. This arguably puts the country in a better position to withstand AI's impact, as demand is increasingly shifting toward higher-value, knowledge-intensive work rather than routine tasks.

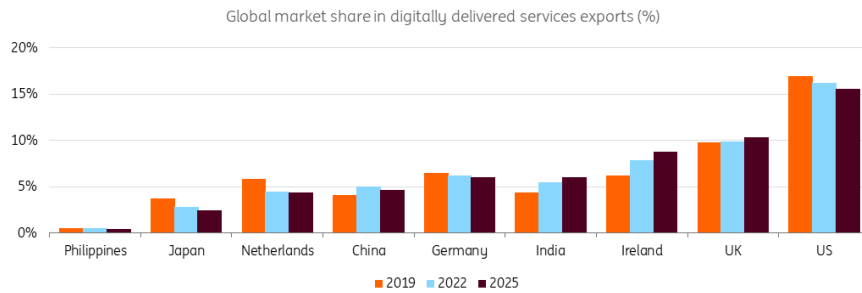
Since 2022, India's DDS exports have grown by 45%. This outpaced global growth of 32% and allowed the country to gain market share despite weaker performance in several large Asian economies, including China and Japan. Much of this growth has come from other business services, which have expanded at an average annual rate of 15% since 2022, significantly faster than global growth of 9.3%.

### India's DDS exports are outpacing global growth



Source: World Trade Organisation

### India is emerging as a bigger player in global DDS



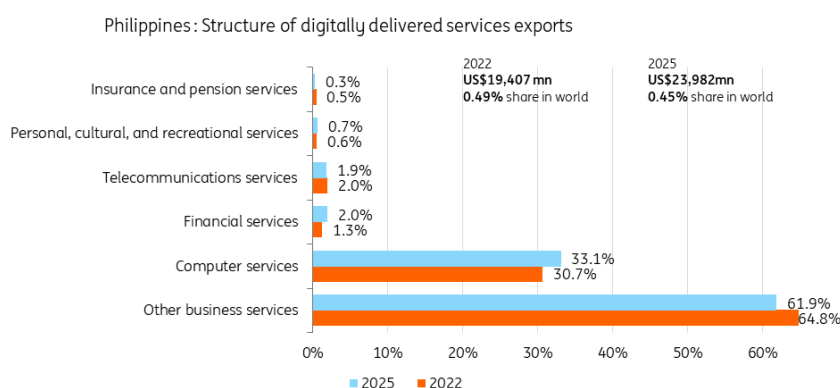
Source: WTO

## The Philippines is shifting its mix

The Philippines presents a somewhat different picture, with the composition of services exports evolving rather than market share expanding. While the country's share of global DDS exports has remained broadly unchanged since 2022, the export mix appears to be evolving. While DDS exports have grown by 24% since 2022, financial services and computer services are increasingly driving growth rather than traditional business services. Financial services exports have expanded by around 25% per year since 2022, while computer services exports have also grown strongly.

In other words, while India is gaining share through its strength in business services and GCC-driven activities, the Philippines appears to be adjusting by increasing its exposure to faster-growing segments such as financial and computer services. The common theme across both countries is that AI is changing the composition of services exports. Yet there's little evidence so far that it's causing outright contraction in export revenues.

## Composition of Philippines services' exports is changing



Source: World Trade Organisation

## Is employment under pressure?

The Philippine IT-business process management (IT-BPM) sector has a much larger footprint

than its direct employment share suggests. According to the ILO, more than a quarter of jobs in the Philippines are potentially exposed to GenAI, the highest share among ASEAN economies with comparable data. However, exposure does not necessarily imply displacement. Only a small fraction of jobs, estimated at around 4%, fall into the highest-risk category for automation. The vast majority are more likely to experience productivity gains than outright replacement.

This distinction is important. While the Philippines is among the economies most exposed to AI-driven change, the evidence so far points to job transformation rather than job destruction. Data on employment, particularly sector-level employment, are not readily available for either India or the Philippines. As a result, we rely on the closest available proxies. For the Philippines, we combine employment data for the information and communication, professional, scientific and technical services sectors. By this measure, employment has grown by around 4.5% over the past year, with the recent readings remaining close to their long-term trends.

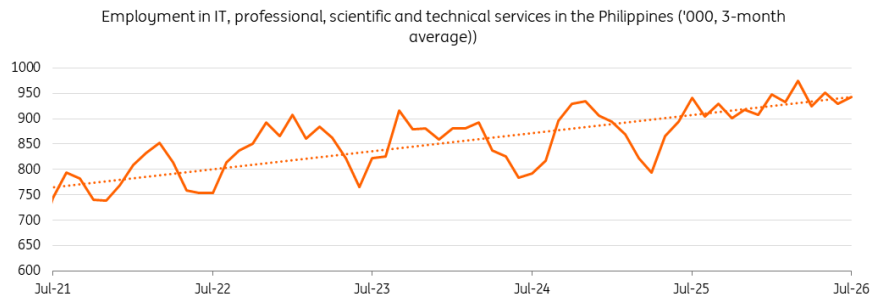
The evidence from India points in a similar direction. Rather than widespread job losses, the impact of AI appears to be showing up through slower hiring and changing skill requirements.

As per news reports, India's top IT firms added just 17 net employees in the first nine months of FY2026, down sharply from the previous year. Entry- and mid-level roles face the greatest pressure. This points to rising productivity and lower labour intensity as AI adoption accelerates.

Yet the broader industry continues to expand. The National Association of Software and Service Companies (NASSCOM) expects India's technology workforce to reach around 6 million workers in FY26, up 2.3% YoY. AI may be reducing the need for traditional hiring, but it is also creating demand for different skills.

This is partly because demand itself is evolving. While traditional IT firms are hiring more cautiously, GCCs continue to expand and absorb higher-skilled talent. Government outsourcing is growing, IT services are moving deeper into smaller cities, and demand for software, analytics, AI and cybersecurity talent remains strong. Even as AI writes more code, humans remain critical for designing, testing and deploying solutions.

### **Philippine IT and professional services employment remain on trend**



Source: CEIC

## Conclusion

The evidence so far suggests that AI is reshaping the composition of services exports and employment in India and the Philippines, but not yet causing a broad-based decline in exports or jobs. The bigger story is one of upgrading, with growth increasingly concentrated in higher-skilled, more technology-intensive activities.

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Article | 21 September 2026

RATES FRANCE

## France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

### A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

### A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

### Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

### France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

### A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

*Charlotte de Montpellier*

### Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

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